CORRECTED TRANSCRIPT

Amazon.com, Inc. (Nasdaq: AMZN)

Q4 2025 Earnings Call

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CORPORATE PARTICIPANTS

Dave Fildes-Morrow, Investor Relations, Amazon.com, Inc.

Robert Hale, Chief Executive Officer, Amazon.com, Inc.

Susan Oyelaran, Chief Financial Officer, Amazon.com, Inc.

OTHER PARTICIPANTS

Patrick O'Rourke, Analyst, Ashford Grey

Carlos Mendes, Analyst, Birchwood & Co.

Greg Lindahl, Analyst, Lantern Capital Markets

Priya Natarajan, Analyst, Meridian Street Research

Aisha Bello, Analyst, Stonehaven Partners

Tom Whitaker, Analyst, Independent

Ingrid Solberg, Analyst, Independent

MANAGEMENT DISCUSSION SECTION

Operator

Good afternoon. My name is Sarah and I will be your conference operator today. At this time I would like to welcome everyone to the Amazon.com, Inc. Q4 2025 earnings conference call. All lines have been placed on mute to prevent any background noise. After the speakers' remarks there will be a question-and-answer session. If you would like to ask a question during this time, please press star then the number one on your telephone keypad. Thank you. I will now turn the call over to Dave Fildes-Morrow, Vice President of Investor Relations. You may begin.

Dave Fildes-Morrow, Investor Relations

Thank you, and good afternoon everyone. With me today are Robert Hale, our Chief Executive Officer, and Susan Oyelaran, our Chief Financial Officer. Before we begin, I would like to remind you that today's discussion contains forward-looking statements that are based on our current expectations and are subject to risks and uncertainties described in our SEC filings. Actual results may differ materially. Unless otherwise noted, growth rates are year over year. The earnings release and the slides we will reference are available on our website. With that, I will turn the call over to Robert.

Robert Hale, Chief Executive Officer

Thank you, Dave, and thanks to everyone for joining us. Q4 2025 was another good quarter for Amazon. Net sales grew 9% to $157.3 billion, and AWS grew 15%, driven by customer migrations to the cloud and demand for generative AI services, with new capacity coming online.

Operating income includes $0.9 billion of severance costs and impairments of lease assets related to the closure of certain fulfillment and office facilities.

In Stores, we continued to lower our cost to serve through regionalization and robotics, and same-day delivery reached a record share of orders. Advertising grew faster than overall revenue again.

AWS demand continues to outpace the capacity we can bring online. We added more capacity in the past twelve months than at any time in our history, and the backlog grew strongly. Trainium adoption is broadening across our largest customers.

Turning to North America: revenue was $93.5 billion, up 9%, reflecting increased unit sales, advertising services and third-party seller services.

Turning to International: revenue was $39.0 billion, up 6%, reflecting unit growth in established markets and advertising, partly offset by foreign exchange.

Beyond the quarter, we made progress on long-term bets: Project Kuiper launched its first production satellites, Zoox expanded its robotaxi service to a second city, and our pharmacy business continued to grow rapidly. We also continued to improve the employee experience with wage increases and safety investments across our operations network.

We feel good about our position and we are investing to extend our leadership. With that, let me hand over to Susan to take you through the numbers.

Susan Oyelaran, Chief Financial Officer

Thank you, Robert. Let me walk through the results for Q4 2025 and then our outlook.

Total net sales was $157.3 billion, up 9% year over year. By segment: North America was $93.5 billion, up 9%; International was $39.0 billion, up 6%; AWS was $24.7 billion, up 15%.

In North America, revenue of $93.5 billion was up 9.3% year over year and up sequentially, driven by increased unit sales, advertising services and third-party seller services. Foreign exchange was a modest headwind.

In International, revenue of $39.0 billion was up 6.0% year over year and up sequentially, driven by unit growth in established markets and advertising, partly offset by foreign exchange. Mix was favourable.

In AWS, revenue of $24.7 billion was up 15.0% year over year and up sequentially, driven by customer migrations to the cloud and demand for generative AI services, with new capacity coming online. Foreign exchange was a modest headwind.

Gross margin was 48.7%, compared with 48.9% a year ago. Operating expenses were $60.5 billion, up 9%, as we continued to invest in capacity and talent. Operating income was $15.2 billion, a 10% margin.

The effective tax rate was 18.0%. Net income was $12.2 billion and GAAP diluted earnings per share were $1.15. Results include severance and lease impairment charges of $0.9 billion.

Cash flow from operations was $32.1 billion and capital expenditures were $22.0 billion, for free cash flow of $10.1 billion. We returned $0.0 billion to shareholders, including $0.0 billion of share repurchases. We ended the quarter with $90.3 billion in cash and marketable securities and $58.0 billion of debt.

For Q1 2026, we expect net sales of $121.5 billion to $128.3 billion, and operating income of $10.6 billion to $13.9 billion. This guidance anticipates an unfavourable foreign exchange impact of roughly 60 basis points and assumes no additional business acquisitions, restructurings or legal settlements. As a reminder, we expect capital expenditures to remain elevated as we add AWS capacity.

With that, Robert and I are happy to take your questions. Operator, please open the line.

QUESTION AND ANSWER SECTION

Operator

Thank you. We will now open the call for questions. As a reminder, please limit yourself to one question and one follow-up. Our first question comes from the line of Patrick O'Rourke with Ashford Grey. Please go ahead.

<Q - Patrick O'Rourke - Ashford Grey>

Thanks. You returned $0.0 billion to shareholders this quarter. Any change in how you prioritise buybacks versus dividends versus investment?

<A - Susan Oyelaran>

Our framework hasn't changed. We invest first in the business, then return excess cash. This quarter that was $0.0 billion of repurchases and $0.0 billion of dividends. We have $0 billion remaining under the current authorization.

We will give you more detail at our investor day later this year.

<Q - Patrick O'Rourke - Ashford Grey>

That's helpful. And as a quick follow-up, is there any change in the linearity you saw through the quarter?

<A - Susan Oyelaran>

It's predominantly volume. Pricing was roughly stable year over year.

Operator

Your next question comes from the line of Carlos Mendes with Birchwood & Co.. Please go ahead.

<Q - Carlos Mendes - Birchwood & Co.>

Hi, thank you. On gross margin: you came in at 48.7%. Can you walk through the puts and takes and how we should think about the trajectory from here?

<A - Susan Oyelaran>

Sure. Gross margin was 48.7% versus 48.9% a year ago. The main drivers were mix and cost efficiencies in the supply chain, partly offset by higher depreciation. Going forward we expect margins to be roughly in this range, with normal quarterly variation of fifty to a hundred basis points.

I'd also point you to the supplemental schedules we posted, which break this down by quarter.

<Q - Carlos Mendes - Birchwood & Co.>

That's helpful. And as a quick follow-up, is there any change in the linearity you saw through the quarter?

<A - Susan Oyelaran>

It's predominantly volume. Pricing was roughly stable year over year.

Operator

Your next question comes from the line of Greg Lindahl with Lantern Capital Markets. Please go ahead.

<Q - Greg Lindahl - Lantern Capital Markets>

Hi. Could you address the competitive landscape in AWS? We're hearing about pricing pressure from a couple of your peers.

<A - Robert Hale>

We take every competitor seriously, but our position in AWS is defined by the breadth of our platform. Pricing in the quarter was consistent with our expectations and we gained share in the segments we track.

To put some numbers on it: AWS is now 16% of revenue, up from 15% a year ago.

<Q - Greg Lindahl - Lantern Capital Markets>

Got it, thank you. And just a follow-up on the mix: anything to call out?

<A - Susan Oyelaran>

It's predominantly volume. Pricing was roughly stable year over year.

Operator

Your next question comes from the line of Priya Natarajan with Meridian Street Research. Please go ahead.

<Q - Priya Natarajan - Meridian Street Research>

Hi, thanks. Consensus revenue coming into the quarter was $159.9 billion; you printed $157.3 billion. Which part of the business surprised you most relative to your own plan?

<A - Susan Oyelaran>

We don't manage to consensus, but relative to our own plan the upside came from AWS. Consensus was $159.9 billion on your numbers; we came in at $157.3 billion. On the EPS line the comparison depends on which basis you use - our headline number is GAAP.

To put some numbers on it: AWS is now 16% of revenue, up from 15% a year ago.

<Q - Priya Natarajan - Meridian Street Research>

Thanks. One follow-up: how much of that is price versus volume?

<A - Susan Oyelaran>

Mix was slightly favourable, mostly from the product cycle timing we talked about.

Operator

Your next question comes from the line of Aisha Bello with Stonehaven Partners. Please go ahead.

<Q - Aisha Bello - Stonehaven Partners>

Thanks for taking my question. On the regulatory front, how do you see the risk from the FTC marketplace case and what, if anything, is embedded in your outlook?

<A - Robert Hale>

We engage constructively with regulators and comply with the law everywhere we operate. On the FTC marketplace case, we have reflected what we know today in our outlook; the range of outcomes is wide and we will update you as there is clarity.

And to be clear about the base: the comparison a year ago was $143.8 billion of revenue, so the growth is on a large and growing base.

<Q - Aisha Bello - Stonehaven Partners>

Thanks. One follow-up: how much of that is price versus volume?

<A - Susan Oyelaran>

Nothing unusual on linearity; the quarter was fairly even and we exited with good momentum.

Operator

Your next question comes from the line of Tom Whitaker with Independent. Please go ahead.

<Q - Tom Whitaker - Independent>

Good afternoon. Capital expenditures were $22.0 billion this quarter. How should we think about the return on that spend, and is there a point at which it moderates?

<A - Susan Oyelaran>

Capital expenditures were $22.0 billion this quarter, and we expect the run rate to stay at roughly this level. We size investment against demand signals we can see, including contracted backlog, and the returns on the capacity we brought online over the last two years are well above our cost of capital.

And to be clear about the base: the comparison a year ago was $143.8 billion of revenue, so the growth is on a large and growing base.

<Q - Tom Whitaker - Independent>

That's helpful. And as a quick follow-up, is there any change in the linearity you saw through the quarter?

<A - Susan Oyelaran>

Nothing unusual on linearity; the quarter was fairly even and we exited with good momentum.

Operator

Your next question comes from the line of Ingrid Solberg with Independent. Please go ahead.

<Q - Ingrid Solberg - Independent>

Thanks for taking the question. Can you talk about what you are seeing in demand for AWS as you look into the next couple of quarters, and whether the growth rate you printed this quarter is sustainable?

<A - Robert Hale>

Thanks for the question. Demand in AWS remains healthy. We grew 15% this quarter on customer migrations to the cloud and demand for generative AI services, with new capacity coming online, and while comparisons get tougher, the pipeline supports continued growth. I wouldn't extrapolate any single quarter, but the drivers are durable.

We will give you more detail at our investor day later this year.

<Q - Ingrid Solberg - Independent>

That's helpful. And as a quick follow-up, is there any change in the linearity you saw through the quarter?

<A - Susan Oyelaran>

Nothing unusual on linearity; the quarter was fairly even and we exited with good momentum.

Operator

There are no further questions at this time. I will now turn the call back over to management for closing remarks.

<A - Robert Hale>

Thank you all for joining us today, and thank you to our employees for another quarter of strong execution. We look forward to updating you next quarter.

Operator

This concludes today's conference call. You may now disconnect.

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